Yangen Li

Department of Finance
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Personal Website
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Education

Ph.D. in Finance, University of Iowa	2021–2027 (Expected)
M.Sc. in Quantitative Financial Economics, Oklahoma State University	2019–2021
M.Sc. in Chemical Engineering, China University of Petroleum	2016–2019
B.A. in Chemical Engineering, Beijing University of Chemical Technology	2012–2016

Research Interests

Empirical Asset Pricing, Financial Machine Learning, Textual Analysis

Job Market Paper

Future Proves Past: Detecting Hidden Fraud under Imperfect Enforcement Labels, with C. Wei Li, Yuxuan Li, and Anand M. Vijh.

- 2026 University of Iowa Finance Brown Bag Seminar

Working Papers

Listening to History Rhymes: Pattern Recurrence and Return Predictability in Stock Markets, with C. Wei Li.

- 2026 Financial Management Association (FMA) Annual Meeting (scheduled)
- 2026 Silicon Prairie Finance Conference
- 2024 University of Iowa Finance Brown Bag Seminar

CEO Individualism and the Distribution of Performance Risk, solo-authored.

When "Milliseconds" Matter: The Real Effects of High-Frequency Trading, with Wesley Deng, Bo Hu, and Amy Kwan.

- 2026 Monash Winter Finance Conference (scheduled)
- FMA 2025 New Idea Session; Chinese University of Hong Kong; George Mason University

Work in Progress

Slow Risk, Fast Noise: The Frequency Structure of Market Risk in the Cross-Section of Returns, with Wei Li.

CEO Compensation Governance: Clustering, Learning, and Convergence, solo-authored.

The Protestant Ethic and the Principal-Agent Relation: Evidence from CEO Employment Agreements, with C. Wei Li, Yuxuan Li, and Yiming Qian.

- 2025 Eastern Finance Association (EasternFA) Annual Meeting

Teaching Experience

University of Iowa, Tippie College of Business

Stand-alone Instructor

- Introductory Financial Management, Spring 2024
- Investment Management, Summer 2025 & Summer 2026

Teaching Assistant

- Introductory Financial Management (Discussion Session ×3), Spring 2023

Oklahoma State University, Spears School of Business

Graduate Teaching Assistant

- FIN 4223/5223 Investment Theory & Strategy, Fall 2019 & Fall 2021
- FIN 4813/5550 Portfolio Management, Spring 2020

Grants & Awards

Graduate College Travel Award, University of Iowa	2024–Present
Ponder Fellowship, University of Iowa	Summer 2025
Graduate College Summer Fellowship ($5,500), University of Iowa	2024–2025
Graduate College Post-Comprehensive Research Fellowship ($11,000)	Feb.–June 2025
Spears School of Business Full Graduate Scholarship, Oklahoma State University	2019–2021

Dissertation Committee Members

C. Wei Li (Chair)
Associate Professor of Finance
University of Iowa
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Ashish Tiwari
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Additional Information

Programming & Software

- Python (Proficient); SAS (Working Knowledge); Stata (Working Knowledge); R (Working Knowledge)

Languages

- English (fluent); Mandarin (native)

Abstracts

Future Proves Past: Detecting Hidden Fraud under Imperfect Enforcement Labels, with C. Wei Li, Yuxuan Li, and Anand M. Vijh.

Abstract: We identify a fundamental two-sided problem in accounting fraud detection arising from imperfect enforcement labels. The first is a training problem: models trained on SEC enforcement actions may learn the enforcement process rather than the underlying fraud process because observed AAER cases represent only a selectively revealed subset of fraudulent firms. The second is an evaluation problem: if enforcement labels are incomplete, conventional classification accuracy cannot determine whether a model identifies hidden fraud or merely reproduces observed enforcement patterns. We address these problems using a *future-proves-past* framework that incorporates future accounting outcomes into the supervisory signal during training. We implement the approach using a deep convolutional neural network trained on multi-year accounting panels with soft supervisory labels. While the model maintains strong performance on traditional SEC-labelled benchmarks, its main contribution is identifying economically meaningful hidden fraud outside the observed enforcement set. Firms identified as high-risk exhibit higher future equity issuance, substantial post-issuance underperformance, and significant negative abnormal returns, while independently verified clean populations receive systematically lower fraud rankings.

Listening to History Rhymes: Pattern Recurrence and Return Predictability in Stock Markets, with C. Wei Li.

Abstract: We propose a complementary empirical representation of stock returns: rather than treating the firm–date panel as the primitive object of analysis, we embed rolling 60-day daily-return segments of U.S. equities from 1970 to 2024—approximately 1.29 million segments—into a geometric space of standardized trajectories, extending the exhaustive pairwise-comparison principle of the *Matrix Profile* to the full cross-section. Comparing each segment's nearest neighbors in real data with those in a bootstrap random walk benchmark, we construct the *Pattern Distance Ratio* (PDR), a measure of pattern recurrence. Recurrence is genuine and persistent: the correlation between in-sample and out-of-sample PDR is 0.310 one year apart, decays only to 0.274 three years apart, is positive in every year, and rises to 0.510 as the comparison sample lengthens, while a random walk placebo produces no persistence. Recurrence also predicts returns: strongly recurring segments carry more reliable predictive signals, and a trajectory-space kernel ridge strategy earns annualized gross long–short alphas of roughly 9% to 15% across standard factor models that remain significant in the most recent subperiods. Charged at stock-level effective spreads, however, the strategy's gross return tracks the cost of trading it over five decades and the net alpha is indistinguishable from zero: the predictability is genuine but lives inside the no-arbitrage band that transaction costs create. Transplanted with a fully frozen specification to fourteen international markets, the equal-weighted long–short return is positive in every market and a global composite earns a significant regional-factor alpha.

CEO Individualism and the Distribution of Performance Risk, solo-authored.

Abstract: How do CEOs resolve the tradeoff between shareholder value and employee welfare when adverse performance shocks force an allocation choice? I show that CEO individualism—measured from earnings-call speech by pairing transformer-based semantic similarity to 180 validated anchor sentences with a question-conditioning stage in which a frontier large language model's judgments are knowledge-distilled, via parameter-efficient (QLoRA) fine-tuning, into a specialized large language model that isolates the high-exposure exchanges where disposition is behaviorally revealed—systematically shifts this allocation. Across approximately 376,000 quarterly calls for

ExecuComp firms (2008–2024), a one-standard-deviation increase in CEO individualism raises the pass-through of an ROA shock to employment by 6.2 percentage points, roughly twice the median CEO's response. The effect is concentrated in downturns: individualistic CEOs cut workforces aggressively when performance falls but hire like collectivist peers in good times. I refer to this as a *scarcity-revealed weighting* channel: CEO objective weighting is observable from outcomes only when scarcity forces a binding tradeoff, the asymmetric signature predicted by the channel and not by a symmetric efficiency story. A parallel labor-cost margin confirms the pattern.

When "Milliseconds" Matter: The Real Effects of High-Frequency Trading, with Wesley Deng, Bo Hu, and Amy Kwan.

Abstract: This paper examines how high-frequency trading affects corporate investment and financing. Using a unique Australian setting with broker-level HFT identifiers, we exploit the introduction of ASX-ITCH, a high-speed order-level market data feed that increased the speed of trading information, as plausibly exogenous variation in HFT presence. As HFT activity rises, firms experience sizable decline in investment and equity issuance. These effects are concentrated among firms that rely more heavily on external equity financing. We find consistent evidence using an alternative identification strategy based on the staggered global rollout of exchange co-location services. Overall, the findings show that financial market innovations can alter firms' financing capacity and investment decisions, providing a channel through which financial market structure may influence aggregate economic growth.

The Protestant Ethic and the Principal-Agent Relation: Evidence from CEO Employment Agreements, with C. Wei Li, Yuxuan Li, and Yiming Qian.

Abstract: We study how regional religious culture shapes the formality of the principal–agent relationship between boards and CEOs. Leveraging large language models to extract and analyze CEO employment agreements from SEC filings for S&P 1500 firms, we document notable differences in contracting practices between S&P 500 and non-S&P 500 firms. We find that firms headquartered in counties with higher Protestant adherence are less likely to use explicit CEO employment contracts, consistent with a cultural emphasis on situational judgment and implicit commitments to shared values rather than formal, codified agreements. Protestant culture also moderates how boards evaluate CEO performance during challenging periods.